INTRODUCTION

A clearly described business model helps the analyst understand a business: its strategy, operations, target markets, key customers, suppliers, and ultimately prospects, risks, and financial profile. Many firms have conventional business models that are easily understood and have long existed, such as manufacturers and retailers. However, many business models are complex, novel, or a combination of models. Technological innovation, particularly digitalization, has enabled significant business model innovation over the past decades. Analysts need to develop their own understanding of an issuer's business model to inform their outlook and risk assessment; analysts should not rely solely on management's description of its business model.

Category
Business Models

Learning Module Overview

- A business model addresses four key parts of a business: the customers (the "who"), the firm's product and service offerings (the "what" and often the "why"), channels for reaching customers (the "where"), and pricing (the "how much").
- A pricing model describes the amount customers are billed for units of products or services. A firm's value proposition refers to the product attributes that lead customers to purchase the product rather than those of competitors. A firm's value chain refers to how a firm structures its systems and processes to create value for its customers.
- Conventional business models are common and long established, while unconventional business models are based on innovations or industry-specific combinations and variations of conventional models.
- Digital technology has been particularly influential for business model innovation by generating new products, new channels, new ways to communicate and exchange information, and new methods for handling financial transactions.

Learning Module Self-Assessment

These initial questions are intended to help you gauge your current level of understanding of this learning module.

1. _____ refers to characterizing types of customers a firm may serve according to attributes such as geography, demographics, behavior, preferences, income, affinity for technology, and self-image.

   A. Channeling
   B. Segmenting
   C. Direct selling

   Hide Solution

   Solution:

   B is correct. Companies often identify and group prospective or current customers into segments based on attributes useful for sales, marketing, and product design.

A. unit economics
B. price discrimination
C. functional separation

Hide Solution

Solution:

B is correct. Firms can price the same or similar products and services differently by customer segment, volume purchased, season, time of day, channel, and so on, based on perceived customer preferences to expand their addressable market.

3. Companies selling in markets with many competitors and little or no product differentiation are often _____; in contrast, companies selling differentiated products with few competitors tend to have _____.

A. crowdsourcing; bundling
B. price takers; pricing power
C. omnichannel; direct sales

Hide Solution

Solution:

B is correct. Markets with many competitors and homogeneous products are characterized by having perfect or near-perfect competition market structures, with prices determined by market supply and demand.

4. Two examples of pricing models for complex products are _____, which refers to incentivizing or requiring the purchase of multiple products or services, and _____, which combines a low price on an initial purchase of a durable good with high-margin prices on associated consumables.

A. bundling; razor, razorblade
B. fractional ownership; subscriptions
C. horizontal integration; network effects

Hide Solution

Solution:

A is correct. Companies often bundle complementary products and services by offering a discount for their combined purchase versus the sum of the individual prices, such as a product and a repair/maintenance package. A razor, razorblade model, named for Gillette's business model of selling a razor with disposable razorblades, combines a durable good sold at near cost with high-margin, possibly proprietary consumables needed to use the durable good. Other examples include Nespresso and Keurig coffee machines, printers and toner/ink, and diagnostic instruments and reagents.

5. _____ refers to the increase in the value of a network to its users as more users join.

A. "Value chain"
B. "Network effects"
C. "Value proposition"

Hide Solution

Solution:

B is correct. A network in which participants interact or transact with one another increases in value as more participants join. Examples of companies or services with network effects include financial instrument exchanges, payment

6. _____ involves user communities that enable voluntary collaboration between users of a product with generally a small amount of moderation and oversight by the community host or operator.

A. Franchising
B. Crowdsourcing
C. A loyalty program

Hide Solution

Solution:

B is correct. Generically, crowdsourcing means obtaining contributions from multiple parties. Many digital business models incorporate or utilize crowdsourcing as their defining feature, whereby the company creates a service that users build, while the company simply creates rules and moderates user contributions. Common examples include social media, product reviews, open source software, and Wikis.

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